

Insulated CA Municipal Strategy — Tearsheet

As of June 2026 · CA top-bracket, hold-to-maturity / buy-borrow-die · TEY = de-minimis-aware after-tax ×2.01

Thesis: own what's *money-good to par and AI-insulated* — local-property-tax GO + essential-service revenue — then reach for yield only where a primary-source gauntlet proves the spread is compensation. Hold to maturity; harvest the tax shield; never sell into a downturn.

Why direct munis win (matched 7.5-yr duration, after tax)

	After-tax	TEY	vs core
Direct insulated ladder	3.87%	7.77%	—
Vanguard CA fund (VCLAX)	3.60%	7.24%	−0.27 pp
7-yr US Treasury	2.57%	4.34%*	−1.30 pp

Treasury is taxable (no gross-up). The +1.30 pp over Treasuries is the tax shield, not credit alpha; the +0.27 pp over the fund is fee/structure + hold-to-par. Break-even fed rate ~11% (you're at 40.8%).

The two insulation mechanisms

\$53515 segregated property-tax levy (school/CCD GO) + **essential-service monopoly revenue** (water/sewer) → default ≈ 0, **AI-1** (no State-GF reliance). Parallel: **RPTTF tax-increment** — segregated, city-GF distress doesn't reach it.

Key finding: yield is on the CREDIT axis, not hazard

Fire/quake risk pays ≈ **0 bp** on high-grade GO (TEY 8.08 vs 8.09). The reach is credit/pledge; **State GO pays +0 bp yet adds the AI channel = uncompensated.**

Compensation map (collected bps = +bps TEY × P(collect par))

Type	TEY / +bps	Verdict
RPTTF-residential	9.6–10.0% / +130–170	✅ best bps-per-risk
System hospital (A–AA)	9.3–9.8% / +100–150	✅ ~money-good
Cal-Mortgage CCRC (insured)	8.2–9.6% / +0–240	✅ near money-good (State wrap)
Cleared-CMO charter	10.1–13.7% / +170–530	⚠️ underwritten only
District hospital (Baa)	10.2–11.6% / +180–320	⚠️ strong DSCR only
CCRC start-up / tobacco / State GO	+370–770 / +0	❌ trap / uncompensated

★ **Standout: Sequoia Living** — A-rated *and* Cal-Mortgage-wrapped *and* **9.55% TEY**. System-hospital safety at a +120 bp yield.

Recommended risk budget — "Balanced"

Bucket	Weight
Money-good GO/water/RPTTF core	82%
Clean low-AI reach (system hosp / insured CCRC)	8%
Par-reaching credit (cleared charter / district hosp)	10%
Blended TEY	8.87% (+52 bp vs pure core)
AI-exposed / par-reaching	~10% / ~10%

Caps: AI-exposed $\leq 15\%$ · par-reaching $\leq 25\%$ (charter ≤ 12 / hosp ≤ 6 / CCRC ≤ 5) · per-obligor $\leq 2\%$ · every reach name gauntlet-cleared. *Full reach-sleeve cluster-default at 50% recovery ≈ 50 bp of book — one year of the yield it earns — while 90% pays par through it.*

The gauntlet caught (what a yield screen buys blind)

Tobacco ABS-as-"conduit" · Envision charter covenant **non-compliance** · Harbor Springs DSCR 1.00x · Vibrant Minds **blank** covenant cert · a **defunct** re-CUSIP · **4 taxable** mislabels.

Execution discipline

Par-call cap (never bid > 100) · taxable gate (odd-coupon signature) · de-minimis ordinary-income accretion · EMMA two-sided-tape liquidity gate · migrate from the fund in duration-matched slices.

The edge is the screen, not the ladder — insulation mapping + credit gauntlet + Cal-Mortgage/CMS signals + hold-to-par tax discipline. *UNVERIFIABLE $\neq$ clean.*